Project Scoping Document

Nike, Inc.

Date: February 27, 2026

To: Mr. Yoo-Seong Song, President, Nike, Inc.

From: Parul Mudaliar, Project Manager (Group 2)

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1. Background

The global apparel industry is increasingly shaped by rapid trend cycles and digitally amplified consumer demand. Fast fashion has emerged as a dominant business model designed to rapidly produce inexpensive clothing by replicating popular and viral trends in fashion or celebrity culture. Collections are released at a much faster rate than traditional fashion cycles, sometimes introducing up to 36 collections per year. The model relies on optimized supply chains and data-driven demand forecasting to keep costs low and production cycles short. Businesses such as Zara and Shein leverage analytics to predict consumer demand and identify popular items in real time. At the same time, growing concerns over ecological issues stemming from carbon emissions and severe water usage, along with the increasing popularity of secondhand shopping, are pushing retailers to rethink traditional fast fashion practices. These evolving consumer expectations are increasing pressure on established global brands to balance speed, sustainability, and brand credibility.

Nike, Inc. is a global leader in athletic footwear and sportswear, supported by a portfolio of long-standing, athlete-endorsed product lines in the sneaker and athleisure markets. While Nike leads the global sportswear industry, valued at approximately USD 150.4 billion, its traditional product development cycles may limit its responsiveness in an increasingly trend-driven and digitally influenced marketplace. Nike has engaged us to evaluate the potential launch of an AI-powered sub-brand, "Nike Velocity," designed to operate on a faster, trend-responsive product development model while preserving the performance credibility of its core brand. Through Velocity, Nike aims to capture incremental revenue, accelerate product development through AI-driven insights, improve inventory efficiency, and strengthen long-term digital and supply chain capabilities.

The focus of this project is to assess whether Nike Velocity represents a financially attractive and strategically sound growth initiative. Specifically, Nike seeks a data-driven evaluation of market opportunity, AI-enabled differentiation, operational feasibility, financial viability, and brand architecture risk. The outcome of this engagement will inform a clear go or no-go recommendation regarding the launch of Nike Velocity.

2. Problem Statement and Objectives

Problem Statement:

In response to accelerating trend cycles and digitally driven consumer behavior, Nike faces increasing pressure to adapt its product development model. As fast-moving brands leverage

analytics to accelerate product development and respond to viral trends, established performance-oriented companies face growing pressure to balance speed with brand credibility and sustainability. While Nike leads the global sportswear market, its traditional product development cycles may limit its ability to fully capture emerging lifestyle demand, particularly among trend-sensitive and digitally native consumers.

Nike is evaluating whether launching an AI-powered sub-brand, "Nike Velocity," can enable faster, trend-responsive innovation while preserving the strength, performance credibility, and premium positioning of the core Nike brand. The central challenge is determining whether this initiative can unlock incremental growth without creating operational strain, financial risk, or brand dilution.

Objectives:

- Evaluate the attractiveness of the casual and lifestyle market opportunity and its strategic importance to Nike.
- Assess whether AI can provide meaningful differentiation and enable faster, data-driven product innovation.
- Determine the operational and supply chain feasibility of supporting accelerated product cycles.
- Analyze potential brand architecture risks and financial viability to inform a go or no-go decision.

3. Methodology

- **Problem Structuring & Hypothesis Setting** – We will refine and validate the core problem statement and break it into structured sub-questions across market, strategy, AI, operations, brand, and financial viability. Clear hypotheses will guide the analysis to ensure a focused and objective evaluation.
- **Market & Competitive Assessment** – We will conduct secondary research to validate target segment demand, willingness to pay, and overall market attractiveness. A high-level competitive review will identify differentiation opportunities and market positioning.
- **Strategic & Capability Evaluation** – The initiative will be assessed for alignment with Nike's strategic priorities and innovation goals. Relevant AI use cases and capability gaps will be evaluated at a conceptual level.
- **Operational & Brand Feasibility Review** – We will assess whether existing supply chain structures can support faster product cycles and identify key operational constraints. Potential brand architecture and cannibalization risks will also be reviewed.
- **Financial & Risk Analysis with Synthesis** – Simplified financial scenarios will be developed to evaluate investment attractiveness and key sensitivities. Findings will be synthesized into a clear Go, Pilot, or No-Go recommendation.

4. Deliverables

- **Competitive Assessment** – A structured analysis of the competitive landscape, including key market players, positioning strategies, and AI adoption trends within the casual and lifestyle apparel segment.
- **User / Customer Assessment** – An evaluation of target customer segments, demand dynamics, willingness to pay, and potential differentiation opportunities for Nike Velocity.
- **Technology Assessment** – A conceptual evaluation of relevant AI technologies, data capabilities, and operational feasibility required to support a fast, trend-responsive sub-brand model.
- **Final Deliverable & Presentation** – A comprehensive written report consolidating research findings, strategic analysis, financial evaluation, and a clear Go, Pilot, or No-Go recommendation, accompanied by a professional presentation summarizing key insights and strategic recommendations.

5. Key Milestones

Milestone	Date	Description
Project Kickoff	February 20, 2026	Alignment on problem statement, scope, hypotheses, and issue tree.
Competitive Assessment Submission	March 13, 2026	Delivery of competitive landscape analysis
User / Customer Assessment Submission	March 27, 2026	Delivery of user and demand analysis.
Technology Assessment Submission	April 6, 2026	Delivery of AI and capability assessment.
Final Presentation & Deliverable	April 27, 2026	Submission of final report and presentation of strategic recommendation.

6. Assumptions and Constraints

Assumptions

- Nike maintains robust product-level, channel, and regional sales data (including lifestyle SKUs) that could, in principle, support trend and demand modeling.
- Sufficient publicly available information exists on casual/lifestyle and fast-fashion markets, competitor strategies, and consumer behavior to build directional market and customer insights.
- Social-media platforms provide enough accessible signals (aggregated trend data, creator content, engagement metrics) to conceptually support AI-based trend-mining for design inspiration.
- There is executive-level openness at Nike to exploring an AI-enabled lifestyle concept and to using data-driven approaches for product, brand, and portfolio decisions.

- Any proposed AI framework for Nike Velocity would build on existing Nike digital infrastructure and AI capabilities rather than assuming a greenfield tech stack.
- Financial and impact estimates in this project will be directional, based on scenario modeling and external benchmarks rather than internal Nike financials.

Constraints

- No direct access to Nike's proprietary systems, internal sales databases, design roadmaps, or detailed brand/portfolio performance metrics; analysis will rely on secondary sources and reasonable assumptions.
- No ability to scrape social-media platforms at production scale, access platform firehose data, or test live AI models on real user content; all AI components remain conceptual.
- Time-bound academic project (single semester) limits depth of primary research with consumers, Nike employees, or ecosystem partners.
- Reliance on industry research, academic literature, and public case studies for understanding consumer attitudes toward AI-designed fashion and fast-fashion behaviors.
- No access to confidential competitor information, internal AI roadmaps, or proprietary tooling; competitor AI capabilities are inferred from public disclosures and case studies.

7. Cost

This project is undertaken on a pro-bono basis as part of an academic engagement. No financial compensation or consulting fees are associated with this work.

8. Membership

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9. Signatures

Mr. Yoo-Seong Song, President, Nike, Inc.	**Date**
Parul Mudaliar, Project Manager	27th February 2026 **Date**